

This is not to say that BSE did not have any progressive-minded members. Mahendra Kampani, when he was president of the exchange, tried hard to computerize the trading process and convert the open outcry system into a screen-based one. With screen-based trading, brokers could put in their orders on a trading terminal from the comfort of their offices. The advantages of electronic trading were twofold. One, liquidity would increase as more investors could simultaneously access the system. This would shrink the spreads (difference between the buy and sell quotes) dramatically. More importantly, there would be greater transparency about the prices at which shares were actually sold or bought.

The move would have been beneficial for investors, but it would have also dented the profitable businesses of many jobbers and brokers who thrived on the wide spreads and opaque prices resulting from low liquidity. In fact, the majority of the jobbers would have been rendered redundant. Not surprisingly, Kampani faced huge opposition from the broking community, and the proposal was put in cold storage.

What the broker-jobber lobby did not realize was that in blocking computerization, they had dealt a crippling blow to BSE, a blow from which the institution would never really recover. Had BSE opted for computerization at that stage, NSE would have had to work harder to snatch market share from it. I cannot say for sure if BSE would have been ahead of NSE had it computerized its systems earlier, because the BSE continued to score self-goals even after the NSE had started nibbling away at its lunch.

Years later, when I met up with a veteran BSE broker who had once been a president of the bourse, he told me how the exchange's electronic trading plan never got the backing it should have from the government. In fact, it appeared as though some influential people in the government had resolved to marginalize BSE.

My own view, which many old-timers also agree with, is that somewhere along the way, the BSE brokers' lobby had become too powerful for its own good and was beginning to be seen as a challenge to the government. In the late 1980s, when former UTI chairman Manohar Pherwani – the original Big Bull of the Indian stock market – tried to get a broking card for a UTI subsidiary, he was denied it. UTI did huge business with the brokers and was aware that it was being regularly fleeced on quite a few transactions. Large deals would be leaked and the prices it got on many trades were far from satisfactory. To get around the problem, UTI decided to have its own